

Target Corporation (Power BI Project) – Approach

Before importing the Dataset, we must follow these steps:

Back Stage Options > Deselect auto detect relationship

And Regional setting to English (United States)

Unzipped the Target Dataset > Right Click > Extract All

Note: Data Quality Issues

While working on the Target Corporation Power BI project, I have identified two data quality issues in the dataset.

1. Issue in Churn Table (Churn Flag vs Churn Reason):

As per the business logic:

- **Churn Flag = 0** → Customer is **Active (Not Churned)**
- **Churn Flag = 1** → Customer is **Churned**, and the reason should be one of the following:
 - Inactivity
 - Competitor
 - Low Engagement

However, in the **churn-labelled customers table**, many records do not follow this rule.

Examples observed:

- Some records have **Churn Flag = 0** but the **Churn Reason shows Inactivity / Competitor / Low Engagement**.
- Some records have **Churn Flag = 1** but the **Churn Reason shows Active**.

This creates a mismatch between churn status and churn reason, which affects the accuracy of churn analysis.

So, to fix this issue I have created a condition column (Churn Flag) in power query in which if churn reason is Active then it shows 0 else 1

Add Conditional Column

Add a conditional column that is computed from the other columns or values.

New column name
Churn_Flag1

	Column Name	Operator	Value	Output
If	Churn_Reason	equals	Active	0

Add Clause

Else
1

OK Cancel

2. Issue in Loyalty Program Table (Points Earned vs Points Redeemed):

As per logical validation:

- **Points Redeemed $\leq$ Points Earned**
If **Points Redeemed > Points Earned**, it should be considered a data quality issue.

However, in many records, the **Points Redeemed value is greater than Points Earned**, which is logically not possible and impacts loyalty performance analysis.

So, to fix these issues I have used custom column

Custom Column

Add a column that is computed from the other columns.

New column name
Custom

Custom column formula

```
= if [Points_Redeemed] > [Points_Earned] then
  [Points_Redeemed] else [Points_Earned]
```

Available columns

- Customer_ID
- Loyalty_Tier
- Points_Earned
- Points_Redeemed

<< Insert

Learn about Power Query formulas

✓ No syntax errors have been detected.

OK Cancel

Custom Column

Add a column that is computed from the other columns.

New column name

Custom column formula ⓘ

```
= if [Points_Redeemed] > [Points_Earned] then [Points_Earned]
    else [Points_Redeemed]
```

Available columns

- Customer_ID
- Loyalty_Tier
- Points_Earned
- Points_Redeemed
- Custom

<< Insert

[Learn about Power Query formulas](#)

✓ No syntax errors have been detected.

OK Cancel

Then Deleting the old columns

Rename corrected columns back to:

Points_Earned

Points_Redeemed

Then changing the data type from text to whole number

This will fix the data.

Task 1: Data Modelling & Cleaning

1.1 Load and transform datasets in Power Query

Power BI Desktop > Transform Data (Power Query Editor) > New Source > Text/CSV >

Importing all 5 CSV files one by one

1.2 Handle duplicates, missing values, and ensure correct data types

View > Column Distribution, Column Quality should be perfect

No duplicate, no missing values, no incorrect data type was found

Close & Apply

1.3 Create calculated columns:

Membership Duration = Today – Membership Since

Extract Transaction Year, Transaction Month

Using DAX in table view

DATEDIFF

```
Membership_Duration_Days = DATEDIFF([Membership_Since], TODAY(), DAY)
```

```
Transaction_Month = FORMAT(Customer_Transactions[Transaction_Date], "MMMM")
```

```
Transaction_Year = FORMAT(Customer_Transactions[Transaction_Date], "YYYY")
```

1.4 Create a basic Data Model view

One-to-Many: Customer Demographics → Transactions, Loyalty Program, Churn Labelled Customers

Many-to-One: Transactions → Store Locations

first, we have organized the table into fact file and dimension file

Dimension Files - Churn Labelled Customers, Customer Demographics, Customer Transactions, Loyalty Program, Store Locations

Fact Files - There are no fact file

All tables are Dimension files

Now Creating relationships by dragging common column from one table to another table

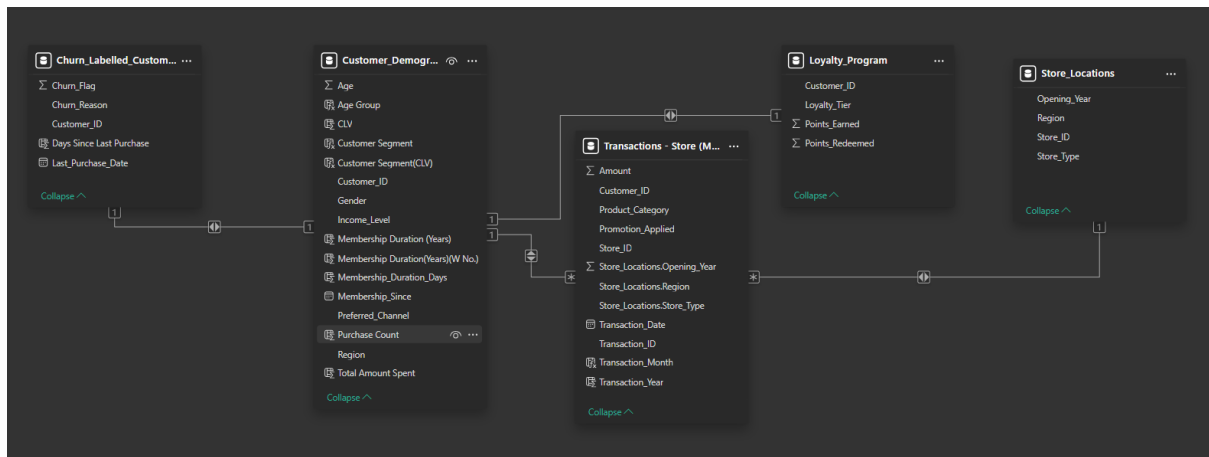
Churn Labelled Customers and Customer Demographics (Common column -Customer ID) [1to1 relationship]. {cross filter direction - both}

Customer Demographics and Customer Transactions (Common column -Customer id) [1to many relationship]. {cross filter direction - both}

Customer Demographics and Loyalty Program (Common column -Customer id) [1to 1 relationship]. {cross filter direction - both}

Customer Transactions and Store Locations (Common column -Store ID) [many to 1 relationship]. {cross filter direction - both}

Please Note: I have shown the model view when I have merged the Customer Transaction table and Store Location table which was Task 5.1.



Task 2: Churn & Retention Metrics

2.1 Create Churn Rate KPI = (Churned Customers / Total Customers) * 100

For Calculating, Churn Rate = (Churned Customers / Total Customers) * 100
first we must calculate total churned customers and total customer

Before that we will create a Measure table in which we'll store all are DAX(Measures)
Home > Enter Data > name the table as "All Measure"

Now,
Using DAX(Measure)

First, calculating total churned customers

```
Total Churned Customers =  
CALCULATE(COUNT(Churn_Labelled_Customers[Churn_Flag]),  
Churn_Labelled_Customers[Churn_Flag] = 1)
```

Second, calculating total customers

```
Total Customers = DISTINCTCOUNT(Customer_Demographics[Customer_ID])
```

Now, just dividing both measure

```
Customer Churn Rate (%) = ([Total Churned Customers]/[Total Customers])*100
```

Then using Card visualization

26.00
Customer Churn Rate (%)

2.2 Visualize Churn Rate by Region, Income Level, Store Type, Loyalty Tier

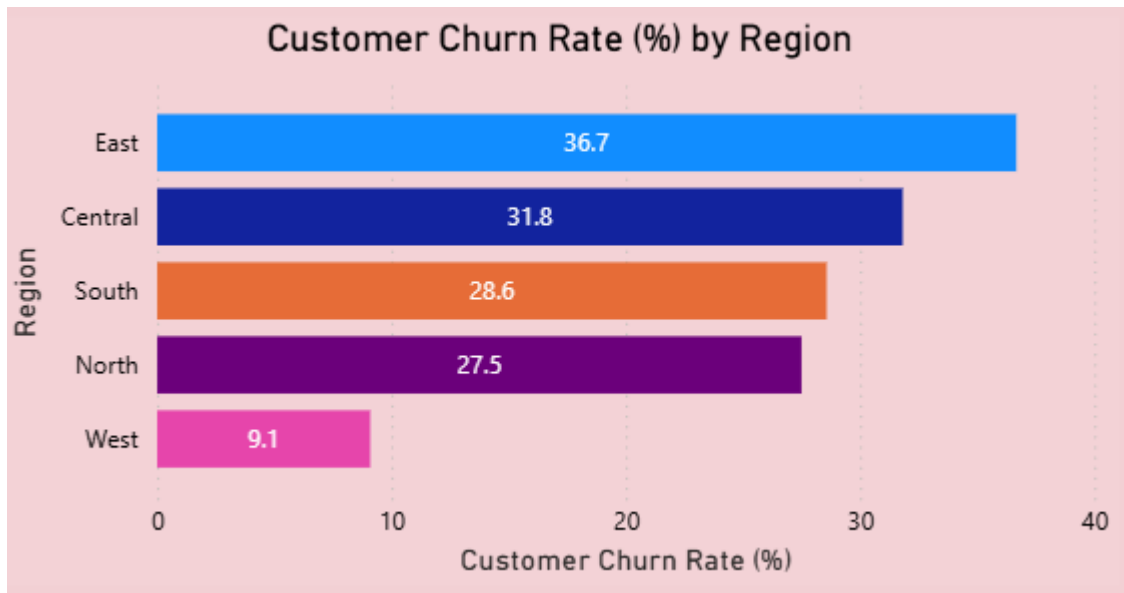
Using Stacked Bar Chart, Pie Chart, Stacked Column Chart and Donut Chart respectively

Churn Rate by Region(Customer_Demographics)-

Y-axis = Region

X-axis = Customer Churned Rate(%)

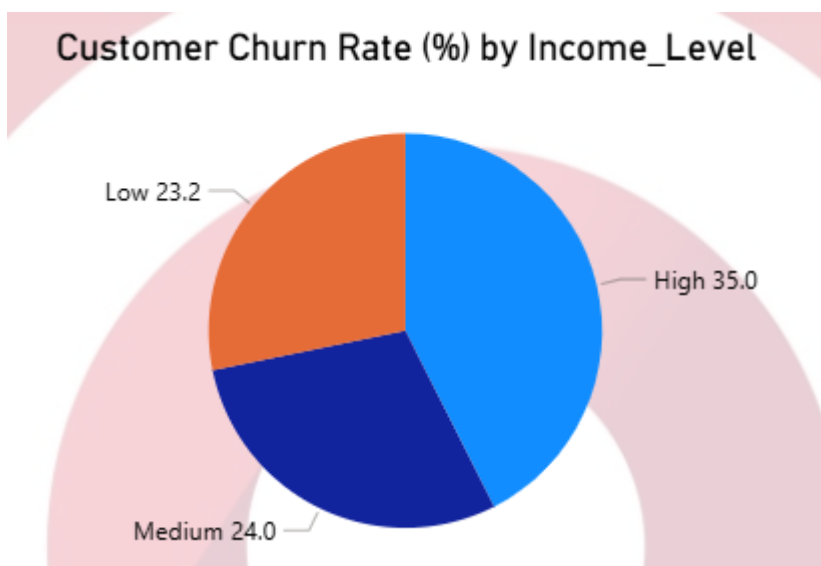
Legend = Region



Chrun Rate by Income Level-

Legend = Income Level

Values = Customer Chruned Rate(%)

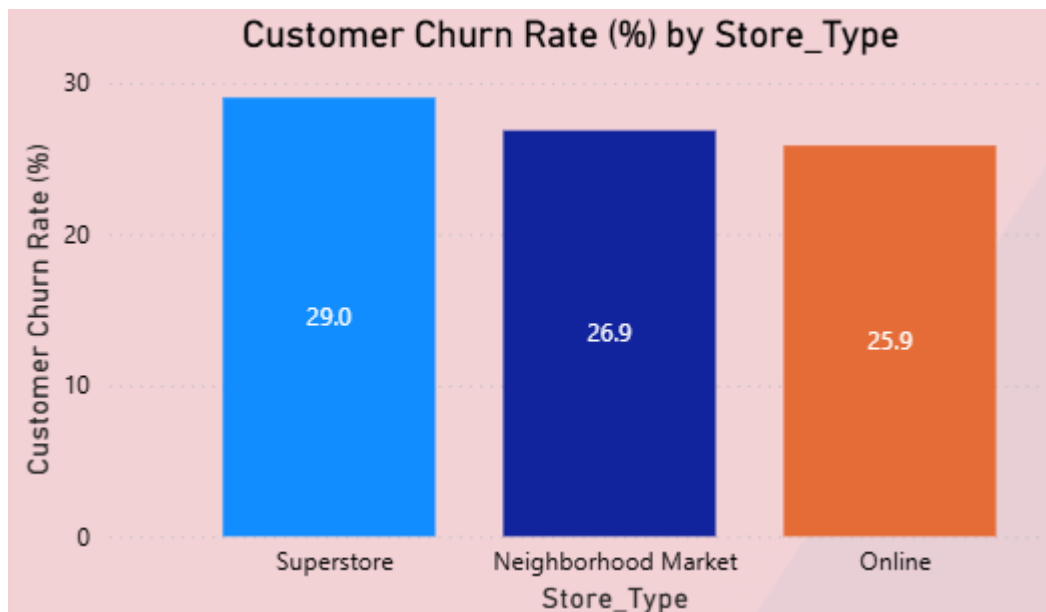


Chrun Rate by Store Type-

X-axis = Store Type

Y-axis = Customer Chruned Rate(%)

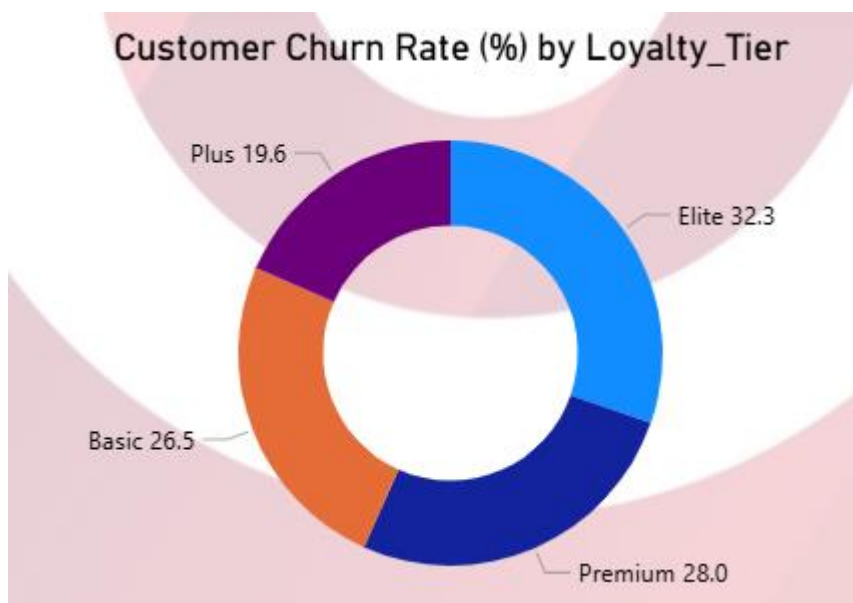
Legend = Store Type



Chrun Rate by Loyalty Tier -

Legend = Loyalty Tier

Values = Customer Chrned Rate(%)

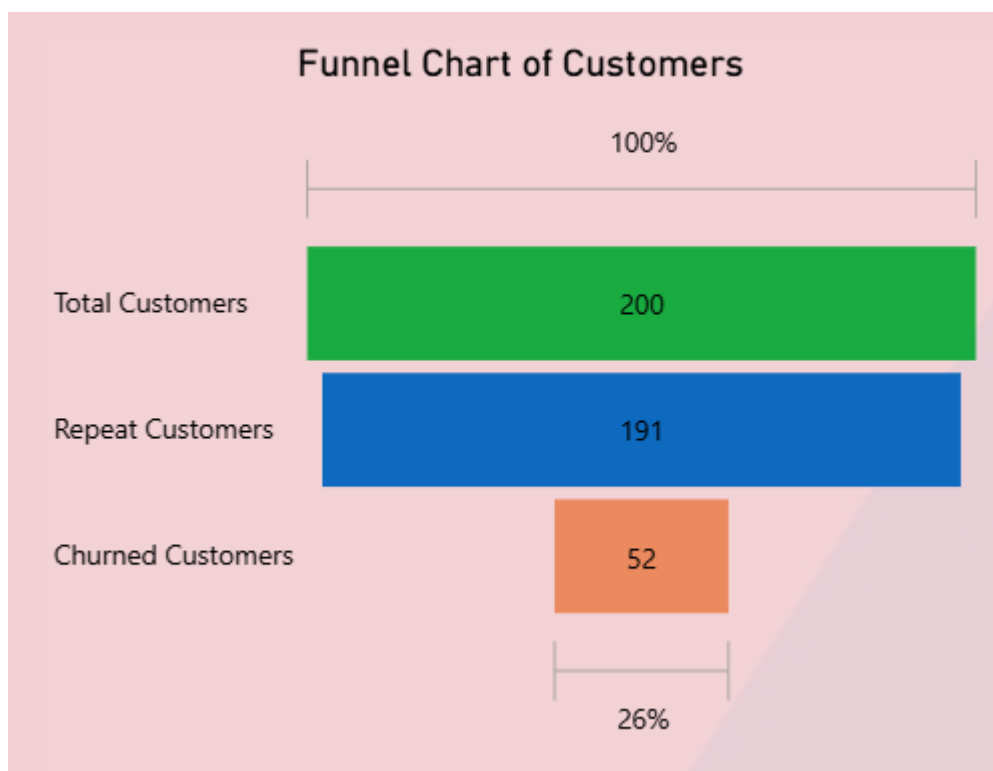


2.3 Funnel Chart: Total Customers → Repeat Customers → Churned

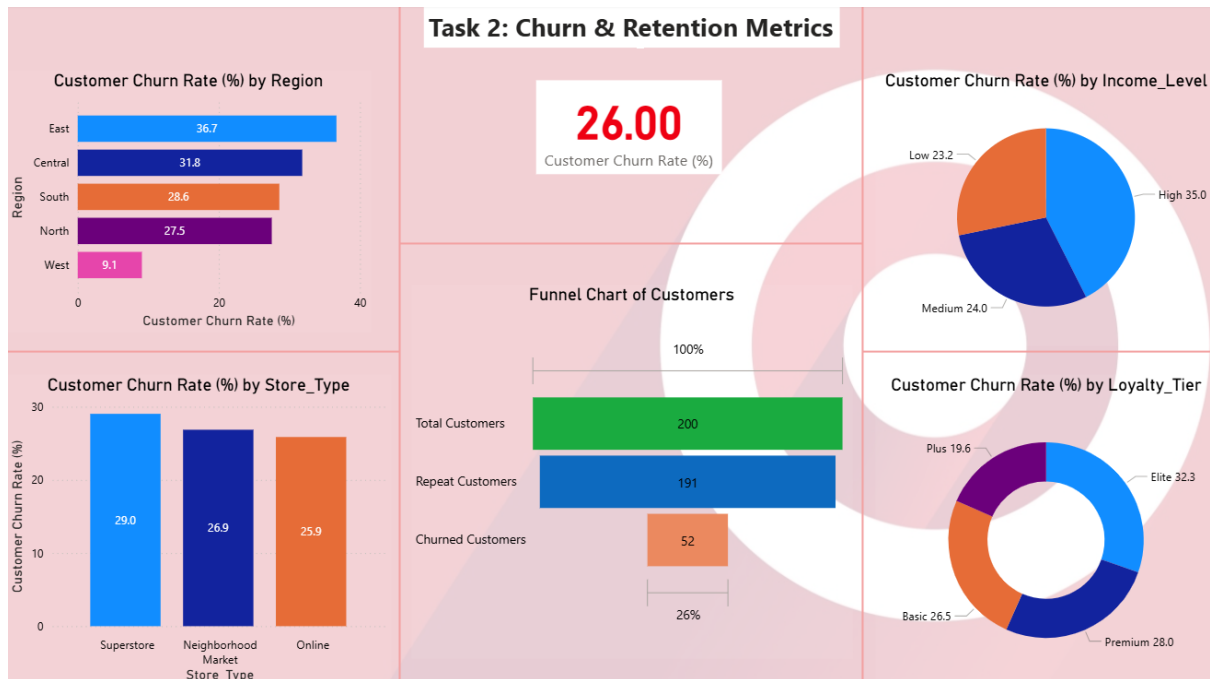
We have already calculated the total customer and churn customers
Now we have to find Repeat Customers

```
Total Repeat Customers =  
CALCULATE(  
    DISTINCTCOUNT(Customer_Transactions[Customer_ID]),  
    FILTER(  
        VALUES(Customer_Transactions[Customer_ID]),  
        CALCULATE(COUNT(Customer_Transactions[Transaction_ID])) > 1  
    )  
)
```

Then selecting the funnel chart and putting Total Customers , Repeat Customers , Churned Customers in values one below another.



Task 2: Churn & Retention Metrics (INSIGHTS & RECOMMENDATIONS)



Key Insights :

1. Overall churn is 26%, meaning 1 in 4 customers is leaving, which is a significant business risk.
2. East (36.7%) and Central (31.8%) regions show the highest churn, while West (9.1%) performs best.
3. High-income customers have the highest churn (35%), higher than Medium (24%) and Low (23.2%).
4. Superstores show the highest churn (29%), whereas the Online channel has the lowest (25.9%).
5. Elite loyalty tier has the highest churn (32.3%), while Plus tier is most stable (19.6%).

Recommendations :

1. Prioritize retention programs in East & Central regions, using West as a best-practice benchmark.
2. Redesign Elite loyalty benefits with exclusive rewards and personalized engagement.
3. Introduce premium experience offers for high-income customers to meet higher expectations.
4. Improve Superstore customer experience through better service, staffing, and in-store personalization.
5. Leverage the Online channel to retain at-risk customers with targeted digital offers and reminders.

Task 3: Repeat Purchase Analysis

3.1 Segment customers:

Low-Tier: 0–3 purchases

Mid-Tier: 4–8 purchases

High-Tier: 9+ purchases

First calculating how many transactions each customer has made.

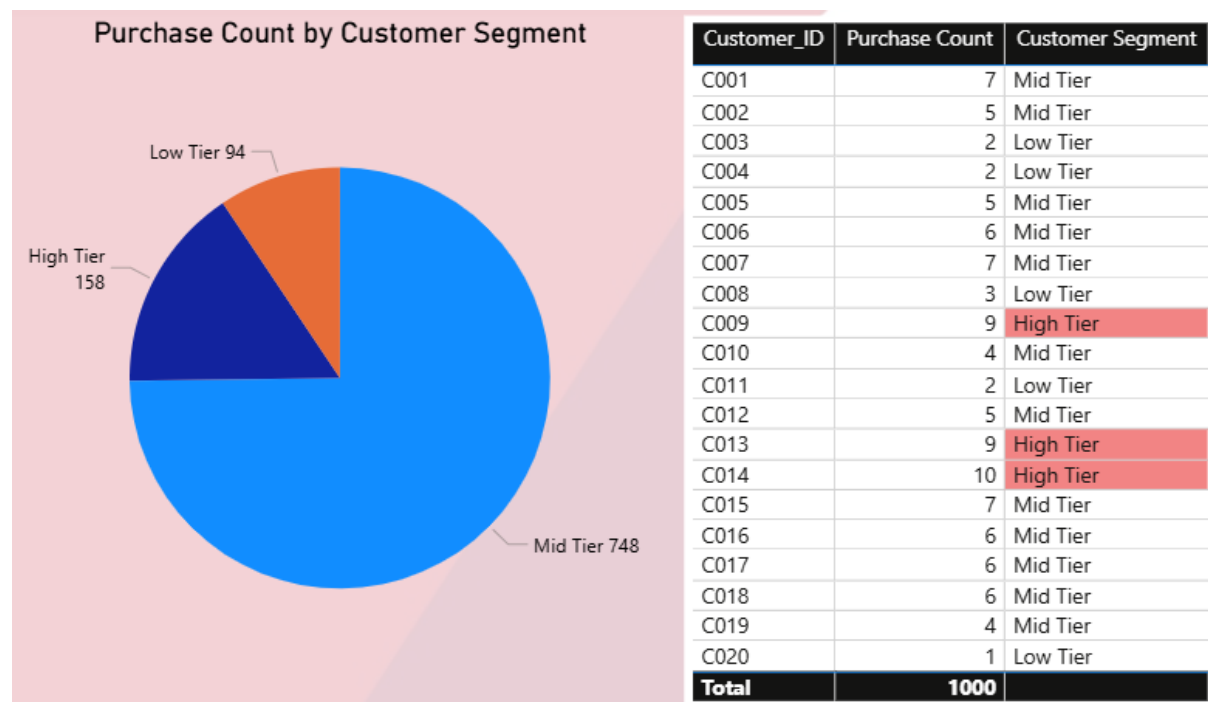
Creating Calculated Columns (DAX) in Customer Demographics table for purchase count

```
Purchase Count =  
CALCULATE(  
    COUNT(Customer_Transactions[Transaction_ID]),  
    FILTER(  
        Customer_Transactions,  
        Customer_Transactions[Customer_ID] = Customer_Demographics[Customer_ID]  
    )  
)
```

Now Segmenting each customer into different tiers

```
Customer Segment = IF(Customer_Demographics[Purchase Count]<=3,"Low Tier",  
    IF(Customer_Demographics[Purchase Count]<=8,"Mid Tier",  
        "High Tier"))
```

Using table and Pie Chart



3.2 Compare avg. purchase frequency by Region, Age Group, Loyalty Tier.

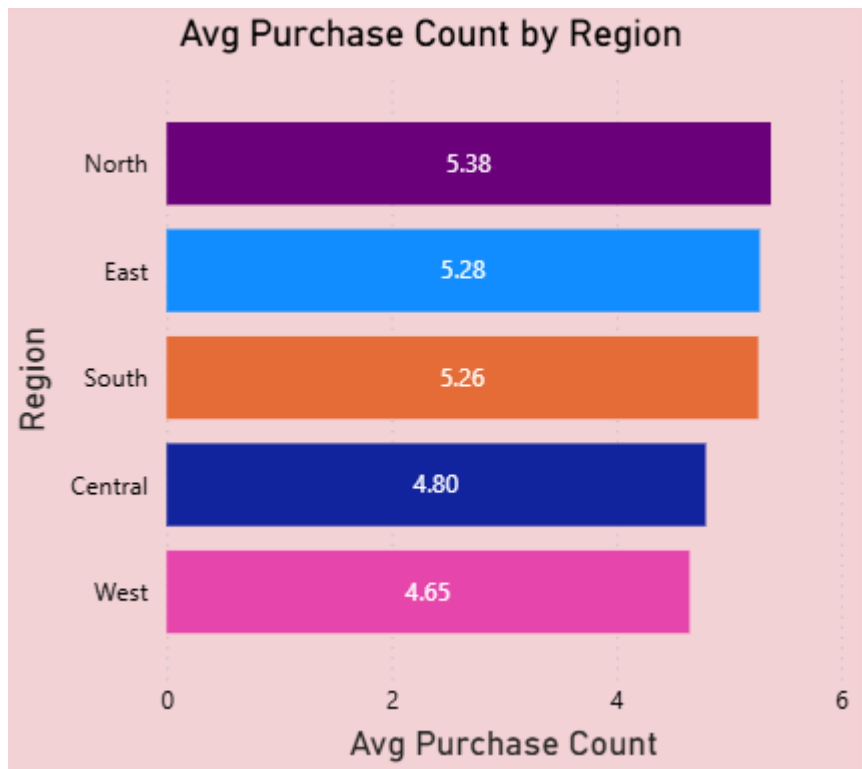
Using Stacked Bar Chart, Donut Chart, Stacked Column Chart respectively

Avg. purchase frequency by Region(Customer_Demographics)-

Y-axis = Region

X-axis = Purchase Count

Legend = Region



Now,

Creating Calculated Columns (DAX) in Customer Demographics table for Age Group

Assuming <30 - Young, <40 - Early Adult, <50 - Mid Adult, >= 50 - Mature.

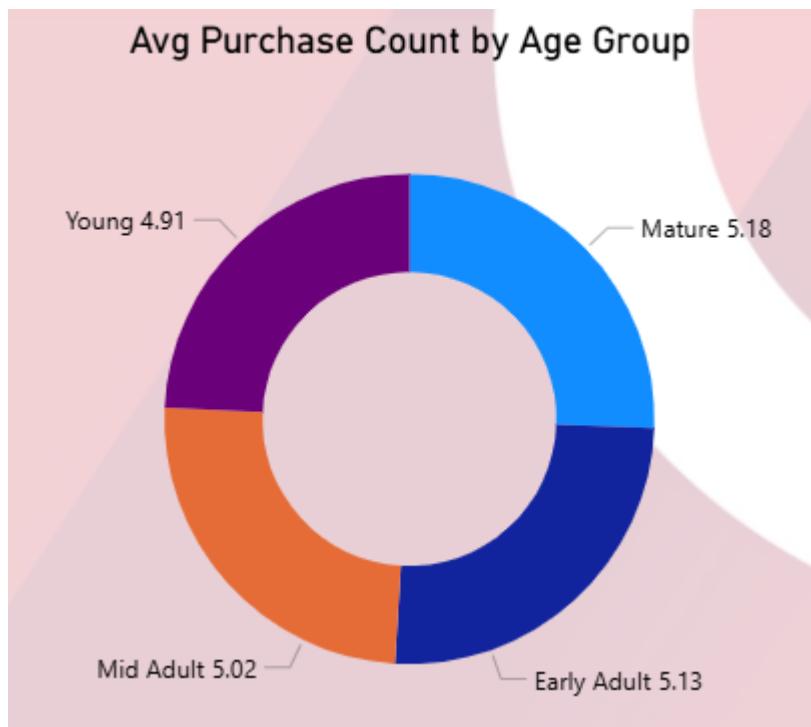
```
Age Group = IF(Customer_Demographics[Age]<30,"Young",
  IF(Customer_Demographics[Age]<40,"Early Adult",
    IF(Customer_Demographics[Age]<50,"Mid Adult",
      "Mature")))
```

then using donut chart

Avg. purchase frequency by Age Group

Legend = Age Group

Values = Purchase Count

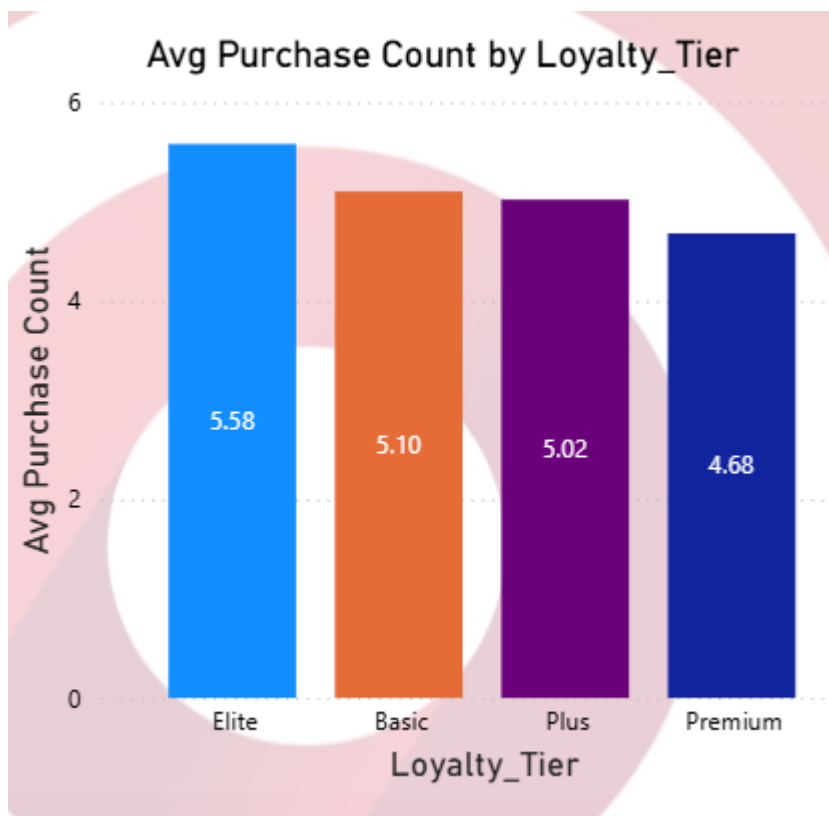


Avg. purchase frequency by Store Type-

X-axis = Loyalty Tier

Y-axis = Purchase Count

Legend = Loyalty Tier



3.3 Most purchased product categories by loyal customers

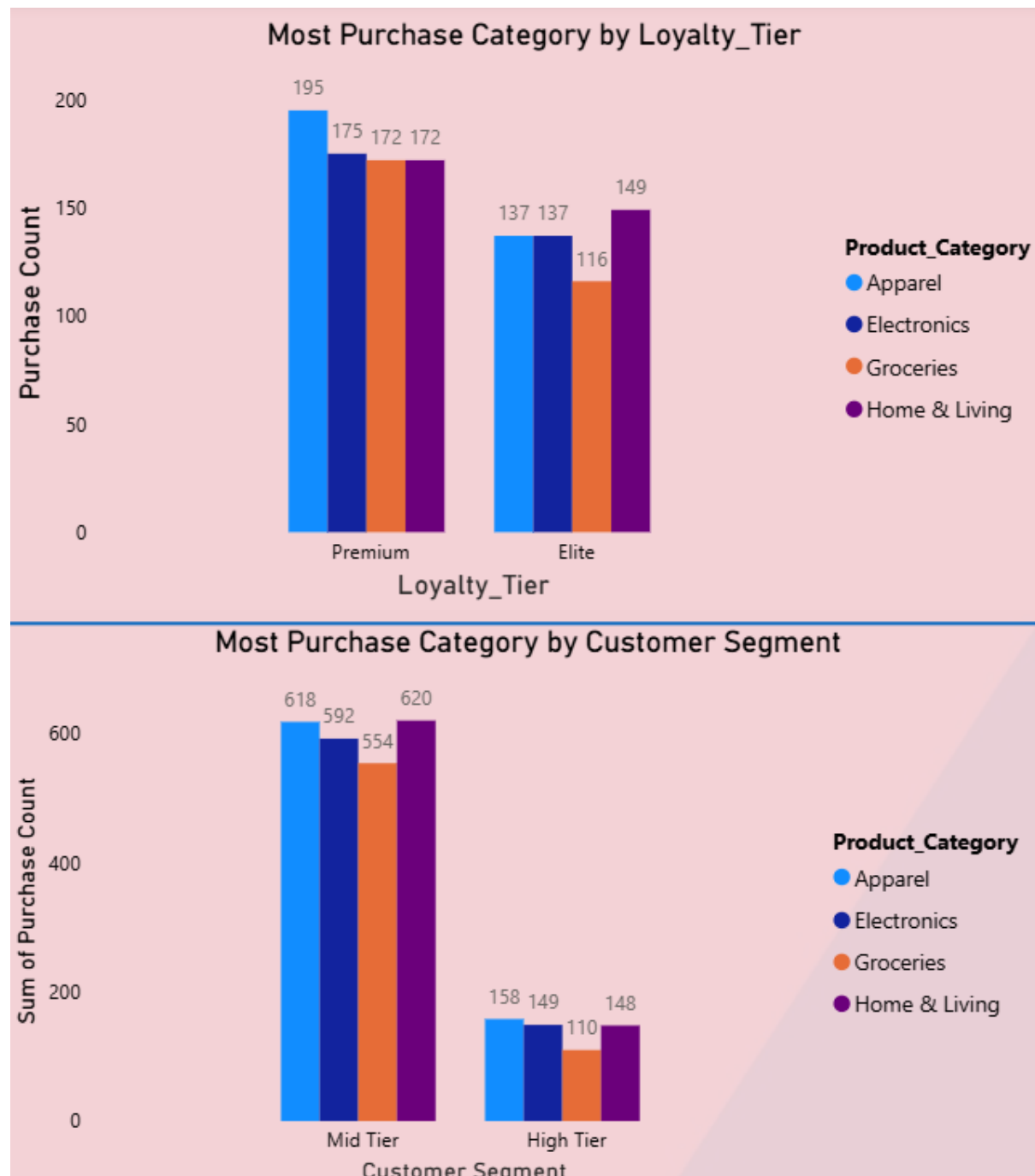
Here I assume loyalty based on two columns:

- Loyalty Tier (Basic,Plus,Premium,Elite) - I will consider Premium and Elite as Loyal Customers
- Customer Segment (Low Tier, Mid Tier, High Tier) – I will consider Mid Tier and High Tier as Loyal Customers

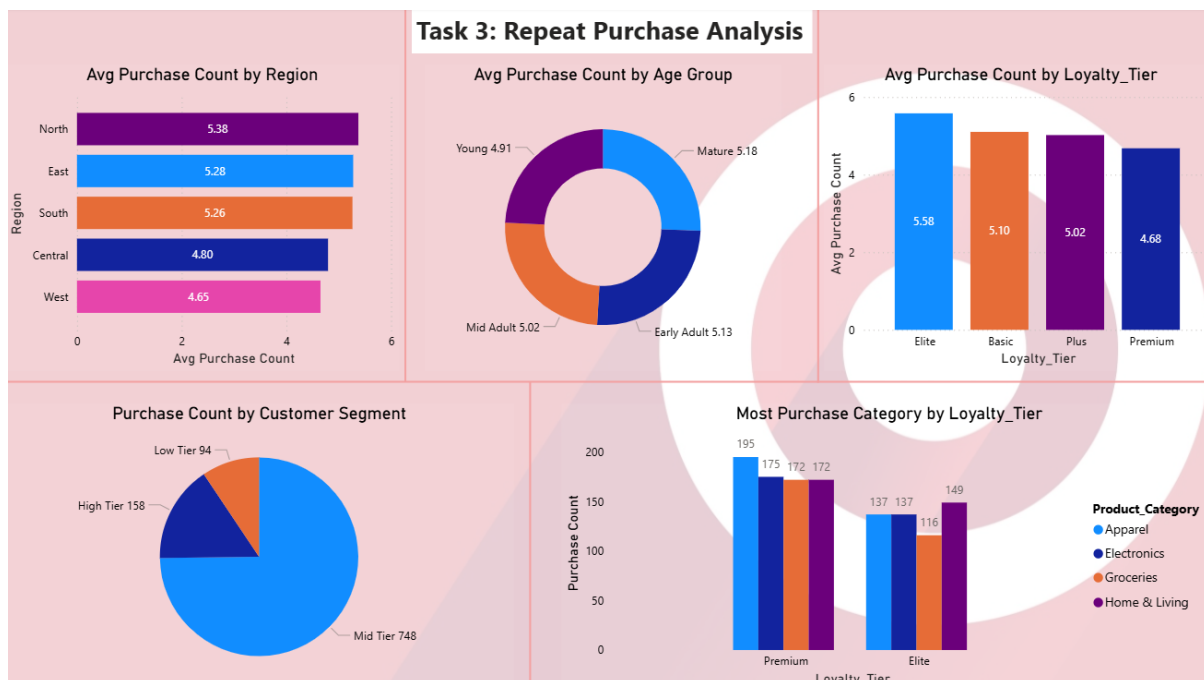
Now using cluster column chart for both

X-axis = Loyalty Tier,
Y-axis = Sum of Purchase Count,
Legend – Product category,
Filter Panes – Premium, Elite

X-axis = Customer Segment,
Y-axis = Sum of Purchase Count,
Legend – Product category
Filter Panes – Mid Tier, High Tier



Task 3: Repeat Purchase Analysis (INSIGHTS & RECOMMENDATIONS)



Key Insights :

1. North (5.38), East (5.28), and South (5.26) regions show higher repeat purchases, while West is lowest (4.65).
2. Early Adult (5.13) and Mature (5.18) customers have slightly higher repeat purchases than Young (4.91).
3. Elite loyalty tier has the highest avg purchase count (5.58), followed by Basic (5.10) and Plus (5.02); Premium is lowest (4.68).
4. Mid-Tier customers (4–8 purchases) dominate with 748 purchases, compared to Low-Tier (94) and High-Tier (158).
5. Premium & Elite customers buy most in Apparel and Home & Living, indicating strong category preference among loyal users.

Recommendations :

1. Focus conversion strategies on Mid-Tier customers to move them into High-Tier (9+ purchases).
2. Improve engagement in the West region using offers proven effective in North and East.
3. Target Early Adult and Mature segments with repeat-purchase incentives and bundles.
4. Boost Premium tier engagement with personalized rewards to increase purchase frequency.
5. Promote Apparel and Home & Living categories to Elite and Premium members to maximize repeat sales.

Task 4: Promotion & Loyalty Impact

4.1 % of transactions with promotion applied

First, we have to calculate the total transactions with promotion applied using DAX(Measure)

```
Total Transaction with Promotion Applied =  
CALCULATE(COUNT(Customer_Transactions[Transaction_ID]),  
Customer_Transactions[Promotion_Applied]="Yes")
```

Now, just dividing by total transactions and change to percentage using DAX(Measure)

```
% Transaction with Promotion Applied =  
DIVIDE([Total Transaction with Promotion Applied],  
COUNT(Customer_Transactions[Transaction_ID]),0)
```

Measure Tools > Formatting > %

39.30%

% Transaction with Promotion Applied

4.2 Compare average purchase amount with vs. without promotions.

First calculating Average purchase amount with promotion applied using DAX(Measure)

```
Avg Purchase Amt with Promotion =  
CALCULATE(AVERAGE(Customer_Transactions[Amount]),  
Customer_Transactions[Promotion_Applied]="Yes")
```

Now, calculating Average purchase amount without promotion applied using DAX(Measure)

```
Avg Purchase Amt without Promotion =  
CALCULATE(AVERAGE(Customer_Transactions[Amount]),  
Customer_Transactions[Promotion_Applied]="No")
```

Finally, using card visual to compare them.

397.70

Avg Purchase Amt with Promotion

411.49

Avg Purchase Amt without Promotion

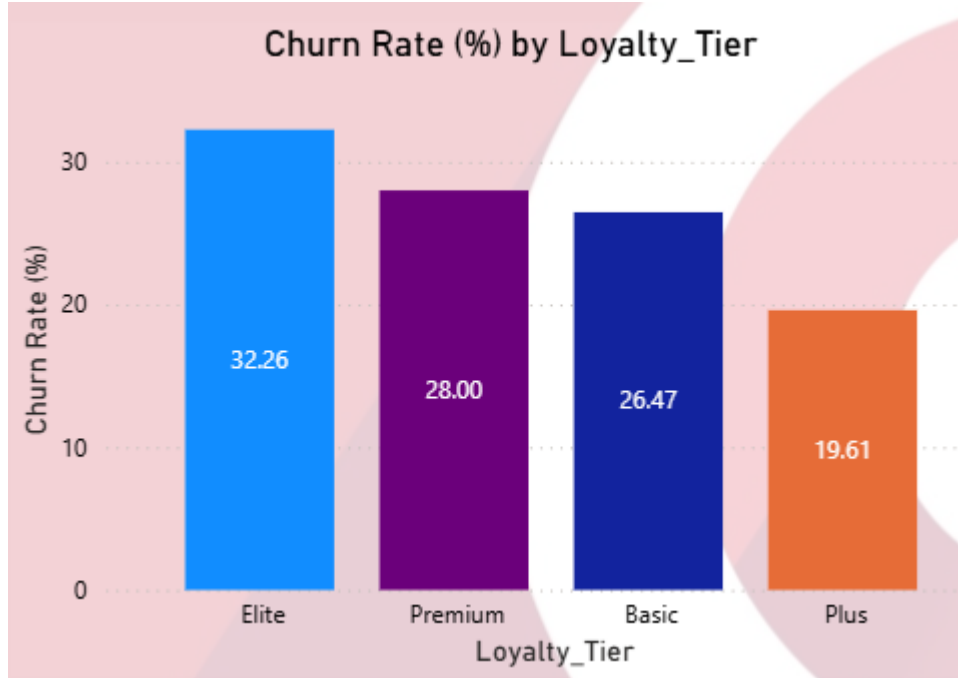
4.3 Analyse churn rate across loyalty tiers

Using Stacked column chart

X-axis = Loyalty Tier

Y-axis = Churn Rate

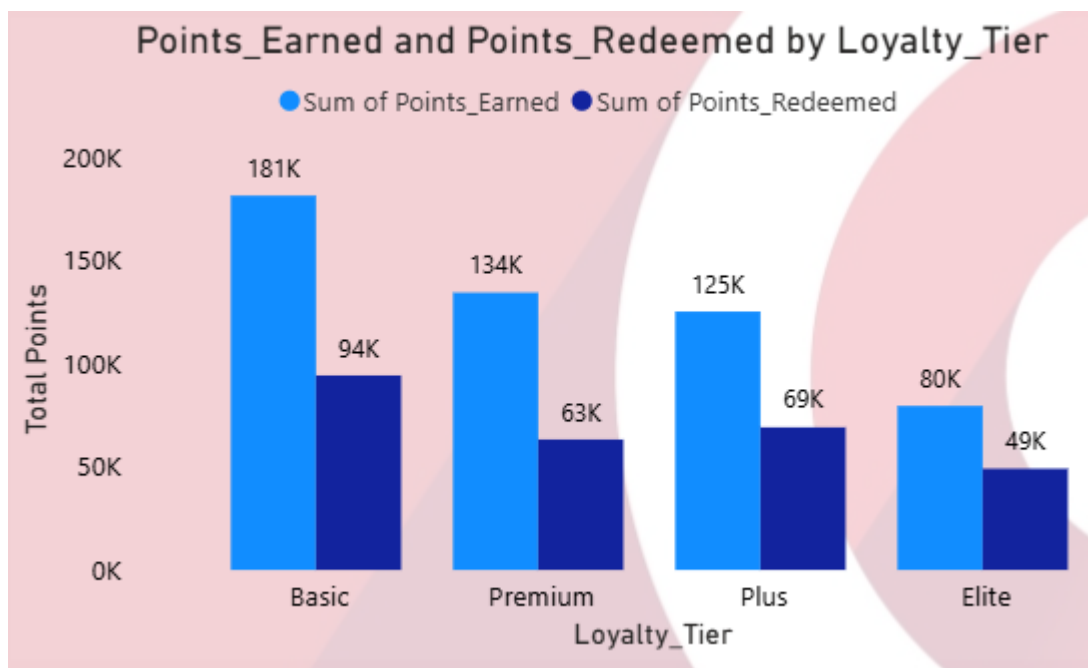
Legend = Loyalty Tier



4.4 Visualize Points Earned vs. Redeemed by Loyalty Tier (Clustered Column Chart)

X-axis = Loyalty Tier,

Y-axis = Sum of Points Earned and Sum of Redeemed



4.5 Recommendations to improve redemption & retention.

1.Revamp Elite loyalty tier benefits

High churn (32.3%), low point redemption, and lower repeat purchases indicate unmet expectations—introduce exclusive rewards, faster redemption, and premium experiences.

2.Promote point redemption to reduce churn

Customers earning points but not redeeming (especially Basic & Elite) show lower engagement—run limited-time redemption campaigns and reminders.

3.Focus on Mid-Tier customers (4–8 purchases)

This is the largest segment; targeted incentives can convert them into High-Tier customers, improving long-term retention.

4.Use targeted promotions instead of blanket discounts

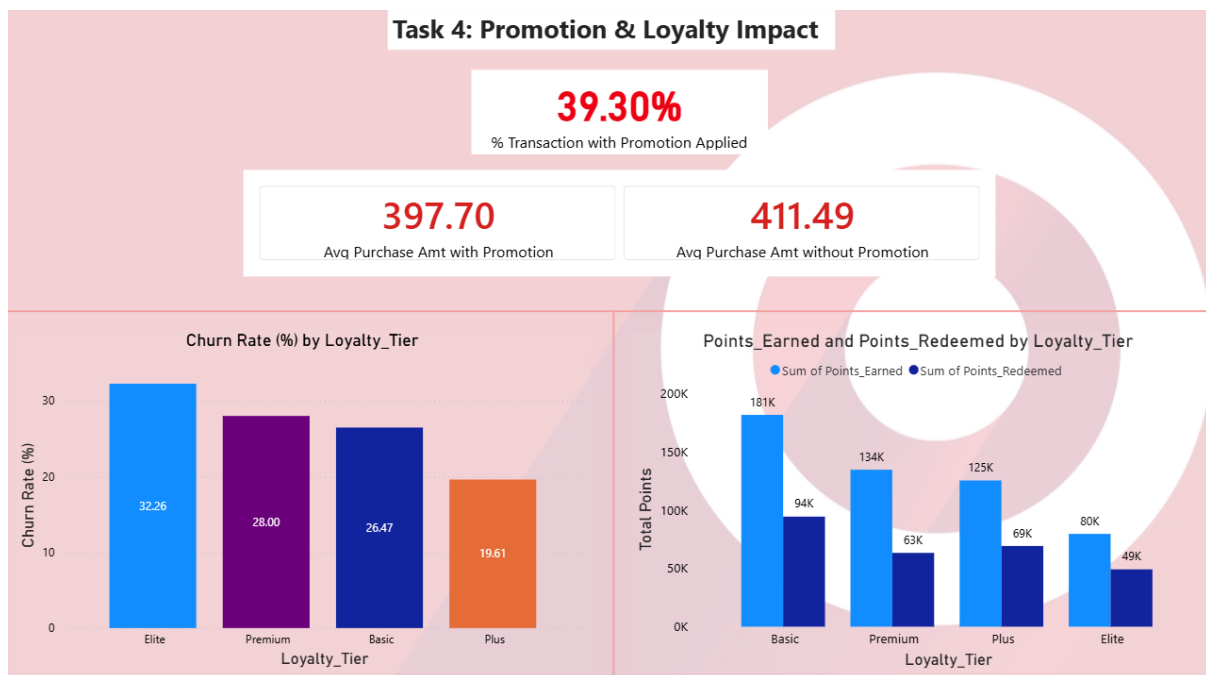
Promotions currently lower average purchase value—shift to tier-based, personalized offers to increase both spend and loyalty.

5.Replicate best-performing segments and regions

Apply West region retention practices and Plus-tier loyalty strategies to high-churn regions (East, Central) and higher tiers.

These actions directly address high churn segments, low redemption behaviour, and weak repeat purchases, improving both customer engagement and lifetime value.

Task 4: Promotion & Loyalty Impact (INSIGHTS & RECOMMENDATIONS)



Key Insights :

1. 39.3% of transactions use promotions, showing moderate promotion dependency.
2. Avg purchase without promotion (411.49) is higher than with promotion (397.70), indicating promotions reduce basket value.
3. Elite tier has the highest churn (32.3%), despite being the top loyalty segment.
4. Plus tier has the lowest churn (19.6%), showing effective loyalty engagement.
5. Basic tier earns the most points (181K) but redeems less proportionally, while Elite redeems the least (49K).

Recommendations :

1. Rework promotion strategy to focus on increasing basket size, not just transaction volume.
2. Redesign Elite loyalty rewards to encourage higher point redemption and reduce churn.
3. Expand Plus-tier benefits, as it shows the strongest retention performance.
4. Introduce targeted promotions for Premium and Elite tiers instead of blanket discounts.
5. Encourage point redemption campaigns, especially for high-balance customers, to improve engagement and loyalty.

Task 5: Store & Channel Performance vs Retention

5.1 Merging store data with transactions

For merging two tables, we will go to Power Query Editor

There should be a common column between Customers Transactions and Store Location which is StoreID

Transform Data > Home > Merge Queries > Store ID is common column > Expand > Store Type, Region, Opening Year > Rename table > "Transaction – Store (Merged)" > Close&Apply

5.2 Visualize :

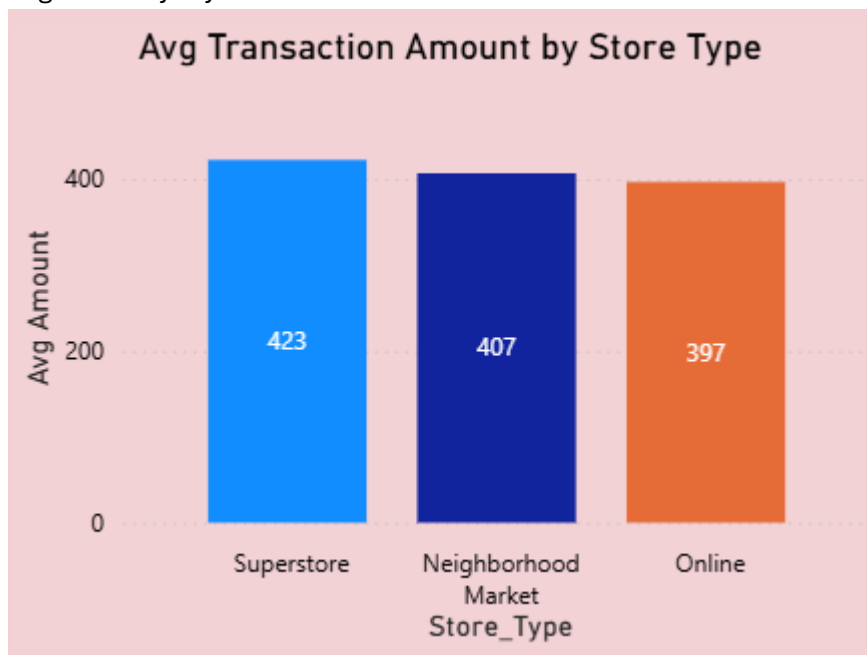
- Avg. transaction amount by Store Type

Using Stacked column chart

X-axis = Loyalty Tier

Y-axis = Churn Rate

Legend = Loyalty Tier



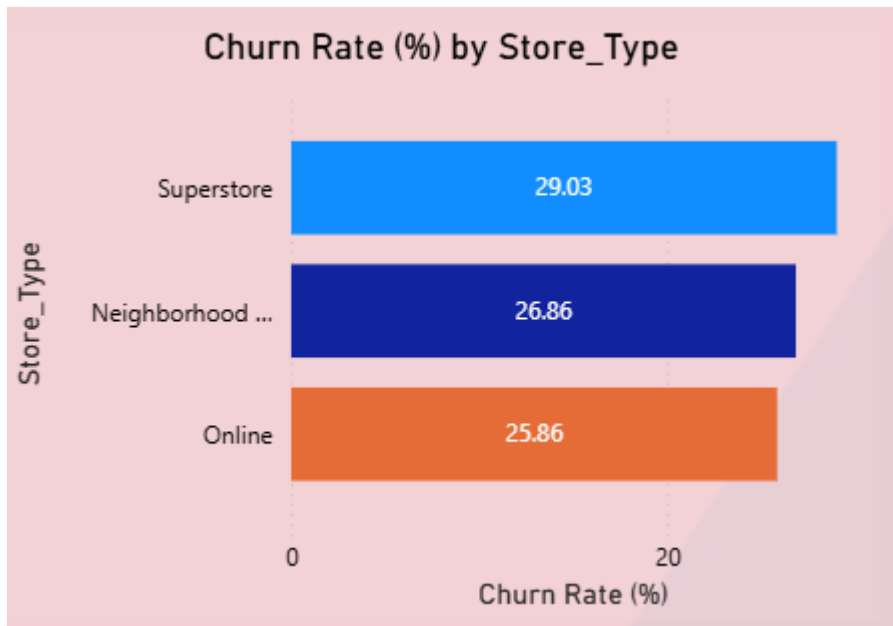
- Churn rate by store type

Using Stacked Bar Chart

Y-axis = Store Type

X-axis = Churn Rate(%)

Legend = Store Type



- Correlation between store opening year & retention

First, calculating total retain customer using measure(DAX)

```
Total Retention Customers = CALCULATE
(COUNT(Churn_Labelled_Customers[Churn_Flag]),
Churn_Labelled_Customers[Churn_Flag]=0)
```

Now, calculating Retention Rate using measure(DAX)

```
Customer Retention Rate (%) = [Total Retention Customers]/[Total Customers]
```

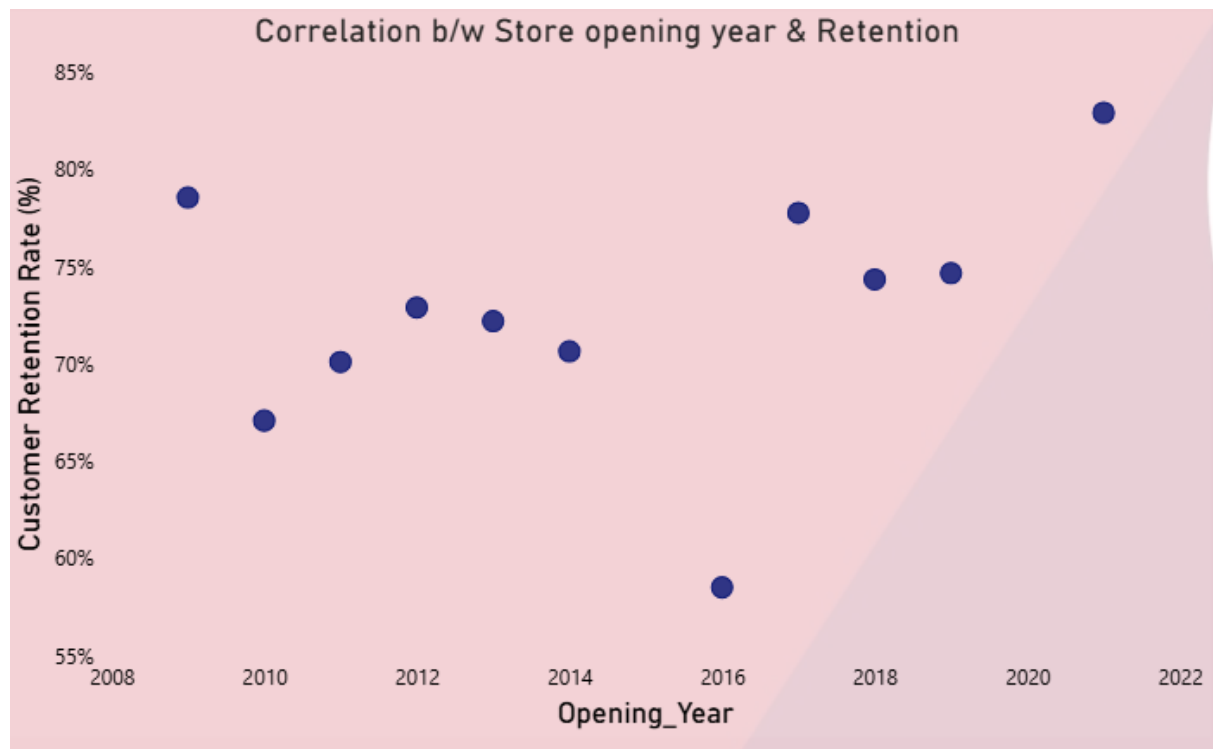
74.00%	148	200
Customer Retention Rate (%)	Total Retain Customers	Total Customers

Finally,

Using Scatter chart

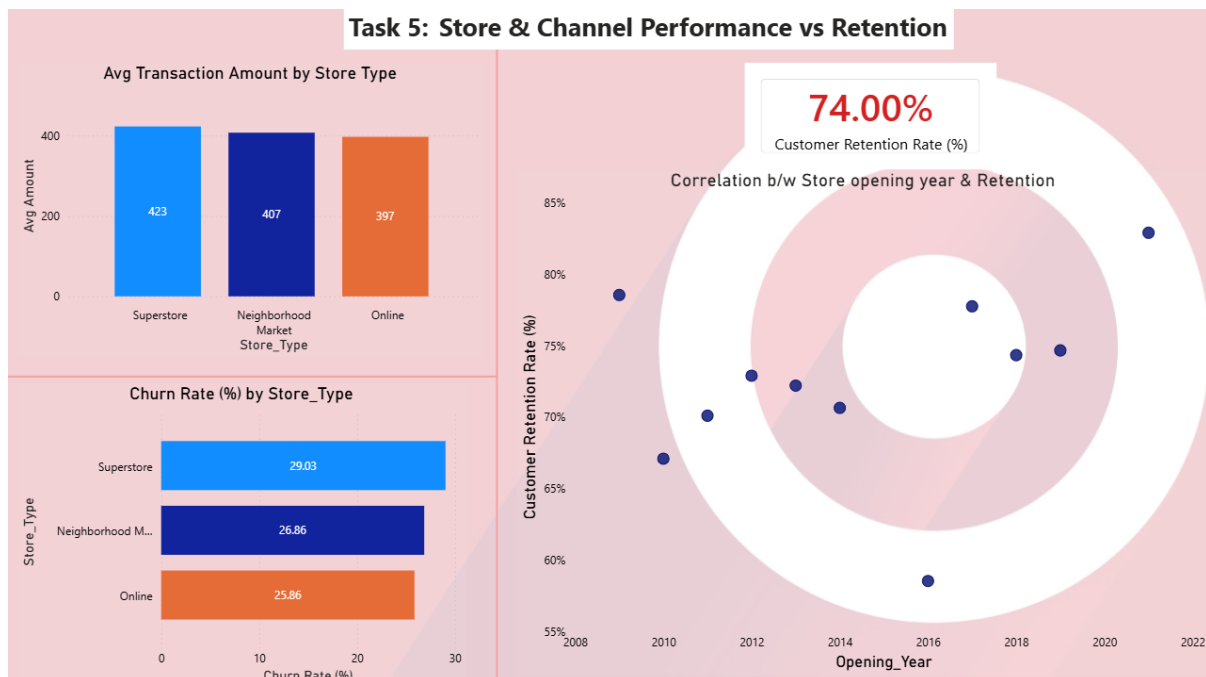
X-axis = Opening Year

Y-axis = Customer Retention Rate



Task 5: Store & Channel Performance vs Retention

(INSIGHTS & RECOMMENDATIONS)



Key Insights :

1. Overall retention rate is high at 74%, indicating strong customer stickiness across channels.
2. Superstores generate the highest average transaction value (423) but also have the highest churn (29%).
3. Online channel has the lowest churn (25.9%), despite having the lowest avg transaction value (397).
4. Neighborhood Markets show balanced performance, with moderate transaction value (407) and churn (26.9%).
5. Newer stores show higher retention, indicating a positive correlation between recent opening years and retention.

Recommendations :

1. Improve Superstore retention by enhancing in-store experience, personalization, and post-purchase engagement.
2. Scale Online channel strengths to boost retention, while using upsell strategies to increase basket value.
3. Leverage Neighborhood Markets as a stability model for consistent revenue and retention.
4. Adopt best practices from newer stores (layout, service models, technology) in older locations.
5. Invest in store modernization for older outlets to close the retention gap and improve customer experience.

Task 6: Customer Lifetime Value (CLV) Analysis

6.1 $CLV = \text{Total Amount Spent} / \text{Membership Duration (Years)}$

CLV means how much 1 customer spending in 1 year

First, I have to find Membership Duration (Years) of each customer row wise [Calculated Column (DAX)]

```
Membership Duration (Years) = ROUND( Customer_Demographics[Membership_Duration_Days] / 365 , 1 )
```

Second I have to find total amount spent of each customer row wise [Calculated Column (DAX)]

```
Total Amount Spent =  
CALCULATE(  
    SUM('Transactions - Store (Merged)'[Amount]),  
    FILTER(  
        'Transactions - Store (Merged)',  
        'Transactions - Store (Merged)'[Customer_ID] = Customer_Demographics[Customer_ID]  
    )  
)
```

Now, we can easily find the CLV for each customer, by dividing both calculated columns row wise, [Calculated Column (DAX)]

```
CLV = Customer_Demographics[Total Amount Spent] /  
Customer_Demographics[Membership Duration (Years)]
```

and round the decimal place to 1

Now using table visual

Columns = Customer ID, Amount Spent, Membership Duration (Years), CLV

Customer_ID	Amount Spent	Membership Duration (Years)	CLV
C001	3,819.76	2.3	1660.8
C002	1,327.71	6.3	210.7
C003	812.50	2.8	290.2
C004	438.05	4.5	97.3
C005	1,764.29	3.3	534.6
C006	852.48	7.1	120.1
C007	3,365.44	6.2	542.8
C008	960.24	7.8	123.1
C009	3,158.51	6.0	526.4
C010	2,111.99	6.5	324.9
C011	1,456.49	6.7	217.4
C012	2,054.71	7.9	260.1
C013	4,105.53	2.1	1955.0
C014	3,686.26	7.0	526.6
C015	1,602.31	6.5	246.5
Total	4,06,070.31		

6.2 Segment customers into Low, High CLV

Above Average CLV as High

Below Average CLV value- Low

We have already calculated CLV for each customer

now, using Calculated Column (DAX) to segment the customers by High CLV and Low CLV based on Average CLV

```
Customer_Segment(CLV) =  
IF(AVERAGE(Customer_Demographics[CLV])  
<Customer_Demographics[CLV], "High", "Low")
```

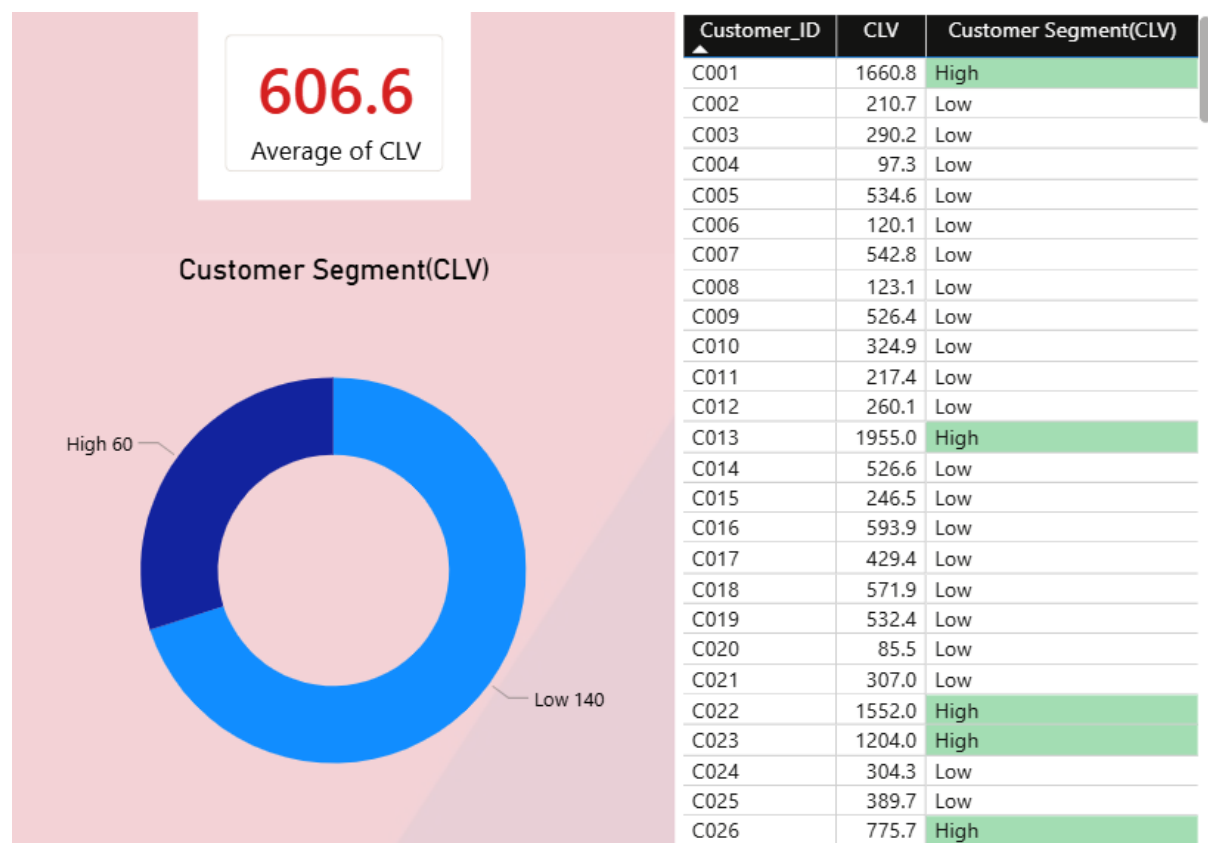
Visualising Average CLV through Card

Now using table visual

Columns = Customer ID, CLV, Customer Segment (CLV)

Highlighting the customer id who has High CLV

Format visual > Cell Element > Background colour



6.3 Visualize:

CLV vs Days Since Last Purchase

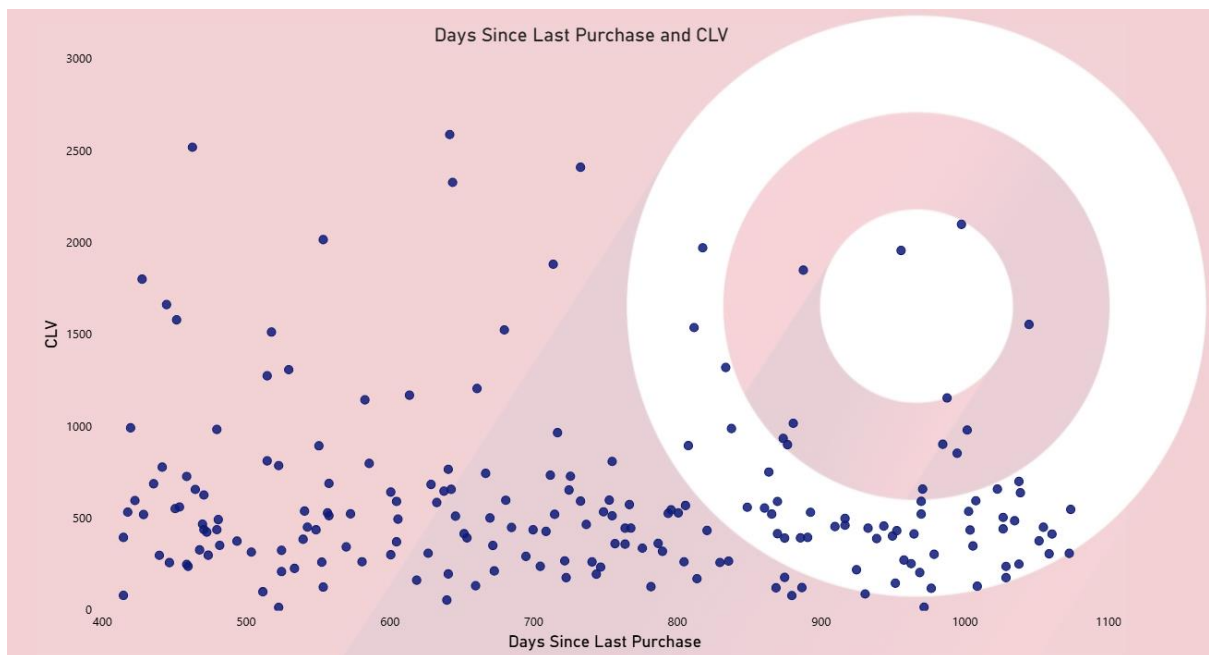
First, I have to calculate no. of days since last purchase using DAX in Table View

```
Days Since Last Purchase =  
DATEDIFF(Churn_Labelled_Customers[Last_Purchase_Date], TODAY(), DAY)
```

Using Scatter chart

X-axis = Days Since Last Purchase

Y-axis = CLV



(ii) CLV by Loyalty Tier & Region

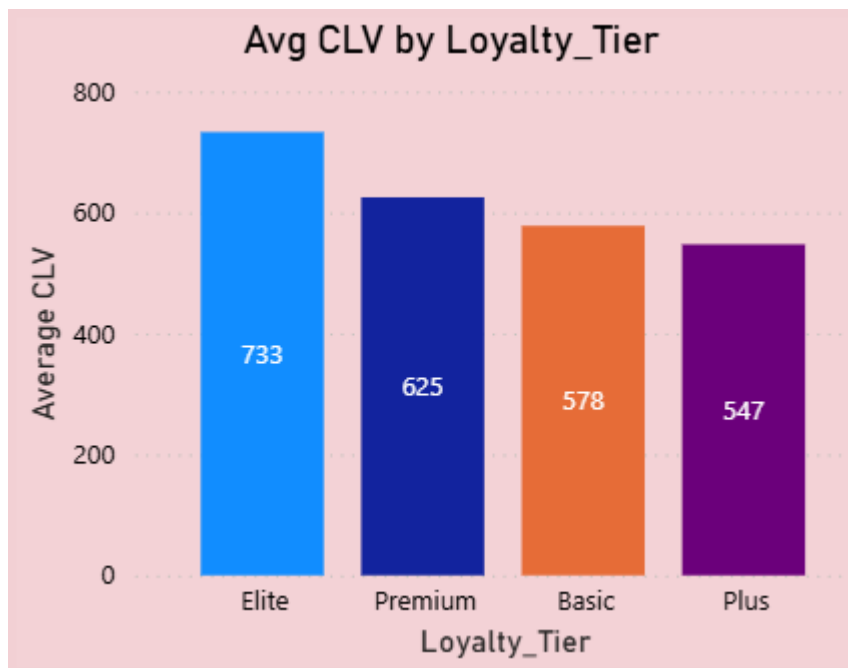
Using Stacked column chart

CLV by Loyalty Tier

X-axis = Loyalty Tier,

Y-axis = CLV (Average) - Average because it makes more sense (as CLV means how much 1 customer spend in 1 year)

Legend = Loyalty Tier



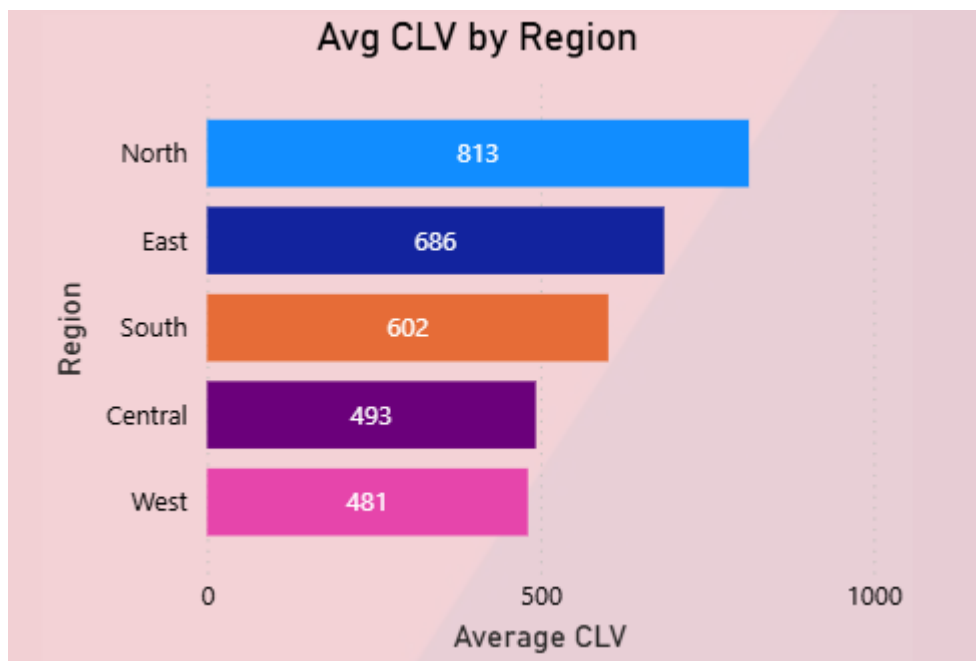
Using Stacked bar chart

CLV by Region

X-axis = Region

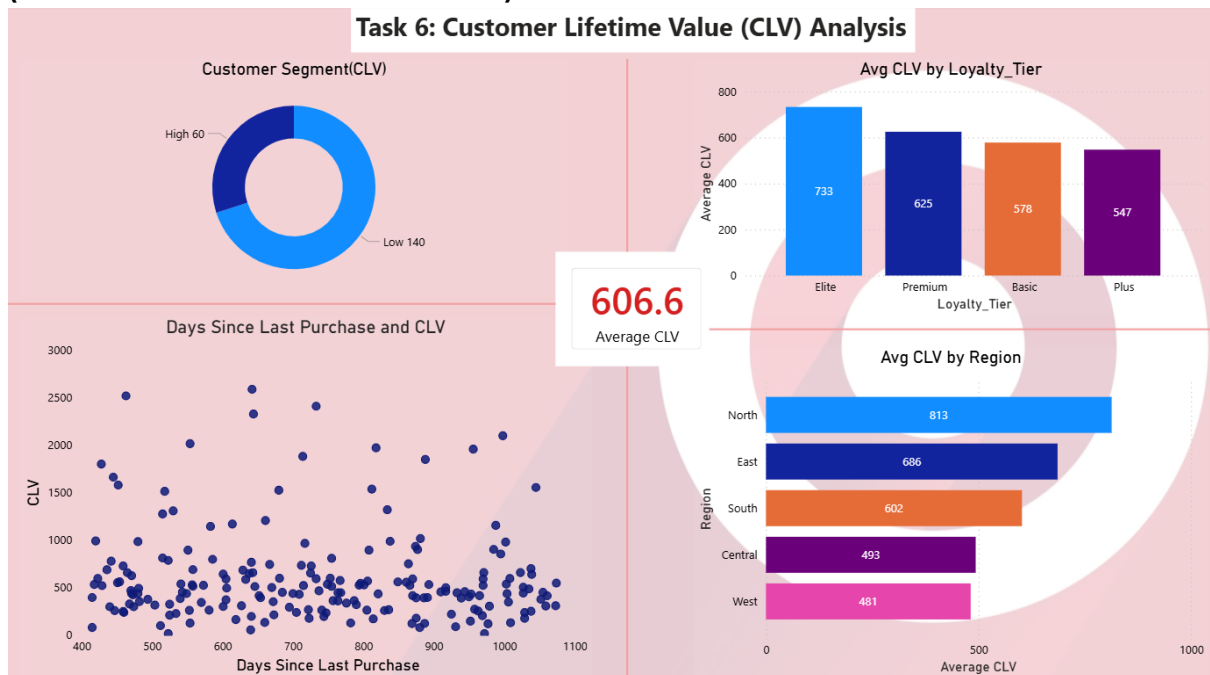
Y-axis = CLV (Average) - Average because it makes more sense (as CLV means how much 1 customer spend in 1 year)

Legend = Region



Task 6: Customer Lifetime Value (CLV) Analysis

(INSIGHTS & RECOMMENDATIONS)



Key Insights :

1. Average CLV is 606, with 140 customers below average (Low CLV) and 60 above average (High CLV).
2. Elite loyalty tier delivers the highest CLV (733), followed by Premium (624); Plus has the lowest CLV (547).
3. North region has the highest CLV (813), while West (481) and Central (493) contribute the lowest lifetime value.
4. CLV declines as days since last purchase increase, indicating inactivity strongly reduces customer value.
5. Majority of customers fall into Low CLV, signaling high potential for value uplift through retention efforts.

Recommendations :

1. Prioritize retention of High-CLV customers, especially Elite-tier and North-region customers, with proactive engagement.
2. Re-activate Low-CLV customers using targeted offers and reminders to reduce time since last purchase.
3. Increase CLV in low-performing regions (West & Central) through localized promotions and service improvements.
4. Encourage tier upgrades by offering CLV-linked benefits to move customers into higher loyalty tiers.
5. **Trigger win-back campaigns based on inactivity thresholds, before customers cross into low-value segments.**

Note: Some DAX calculations before final dashboard

Redemption Rate – Used in Page 2: Loyalty & Promotion Impact

```
Redemption Rate = SUM(  
Loyalty_Program[Points_Redeemed])/  
SUM(Loyalty_Program[Points_Earned])
```

Repeat Customers – Used in Page 4: Segmentation (Churned, Repeat, High-Value)

Although I have calculated repeat customers rate which was purchase count greater than 1 but this Repeat customer is different because context is different i.e. segmentation, I have assumed repeat customers only those which belong to high tier or mid-tier purchase segment i.e. purchase count greater than 3, low tier I do not consider as repeat customers.

```
Repeat Customers (Purchase based Segment) = CALCULATE(  
COUNT(Customer_Demographics[Customer_ID]),  
Customer_Demographics[Purchase Count]>3)
```

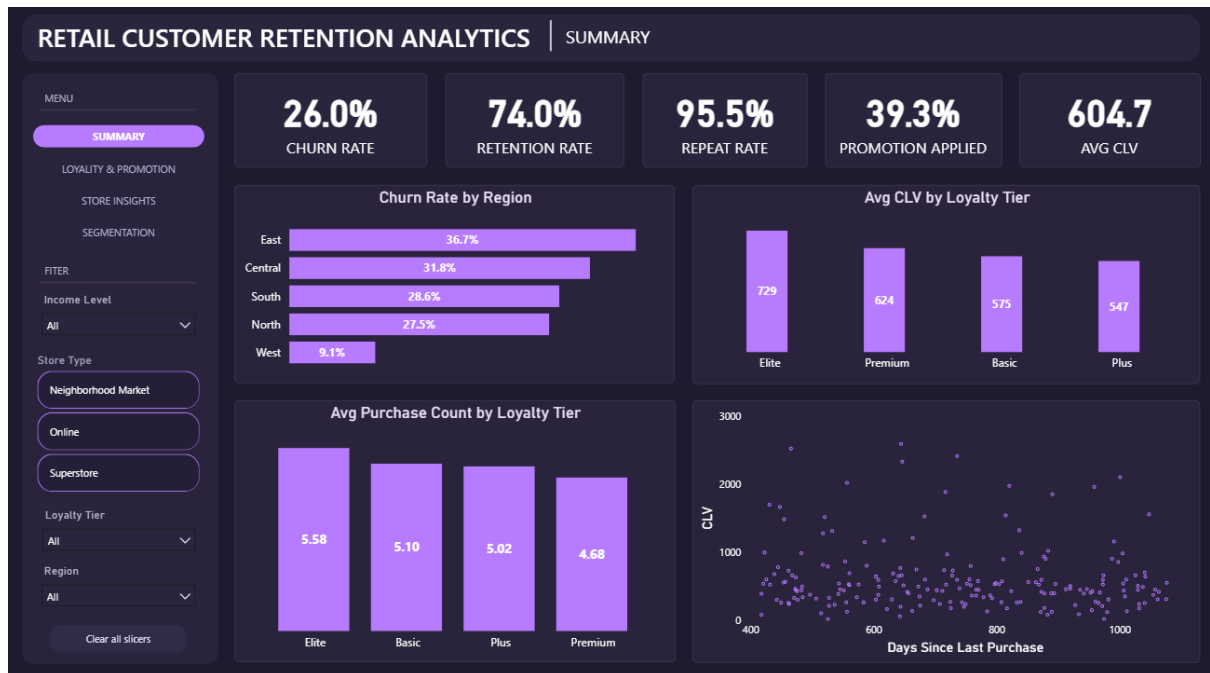
High Value Customers - Used in Page 4: Segmentation (Churned, Repeat, High-Value)

I have just counted the no. of customers that have CLV greater than the average CLV i.e. High CLV customers

```
High Value Customers (CLV) =  
CALCULATE(COUNT(Customer_Demographics[Customer_ID]),  
Customer_Demographics[Customer Segment(CLV)]= "High")
```

Task 7: Final Dashboard & Executive Summary

Page 1: KPIs (Churn, CLV, Repeat Rate)



Summary

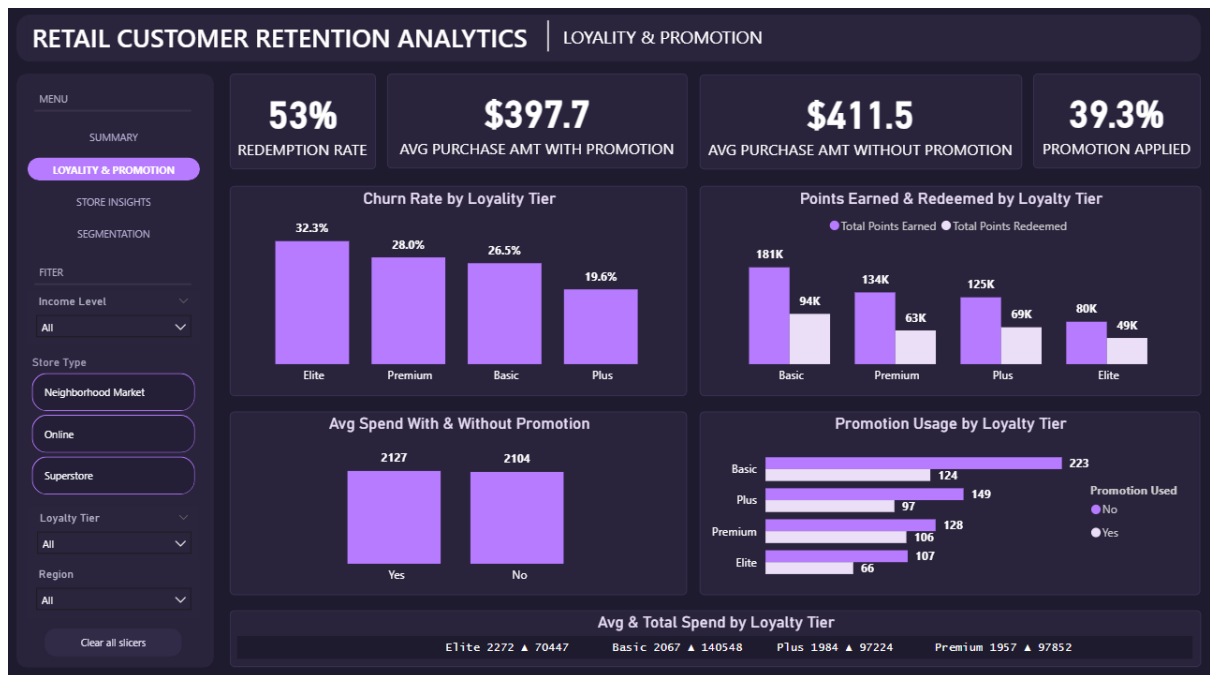
- Churn is **26%**, retention is **74%**, and repeat rate is **95.5%**.
- Average CLV is **\$604.7**, with promotions used in **39.3%** of transactions.

Key Insights

- East and Central regions** have the highest churn; **West** performs best.
- Elite tier generates the highest CLV** but also shows higher risk.
- Repeat purchasing is strong** across all loyalty tiers.
- Customer inactivity leads to lower CLV.**
- Promotions do not significantly increase spend.**

Recommendations

- Focus retention efforts on **East and Central regions**.
- Improve **Elite loyalty benefits** to protect high-value customers.
- Use **inactivity-based re-engagement campaigns**.
- Shift from blanket discounts to **targeted promotions**.
- Prioritize **high-value and repeat customers** for retention.



Summary

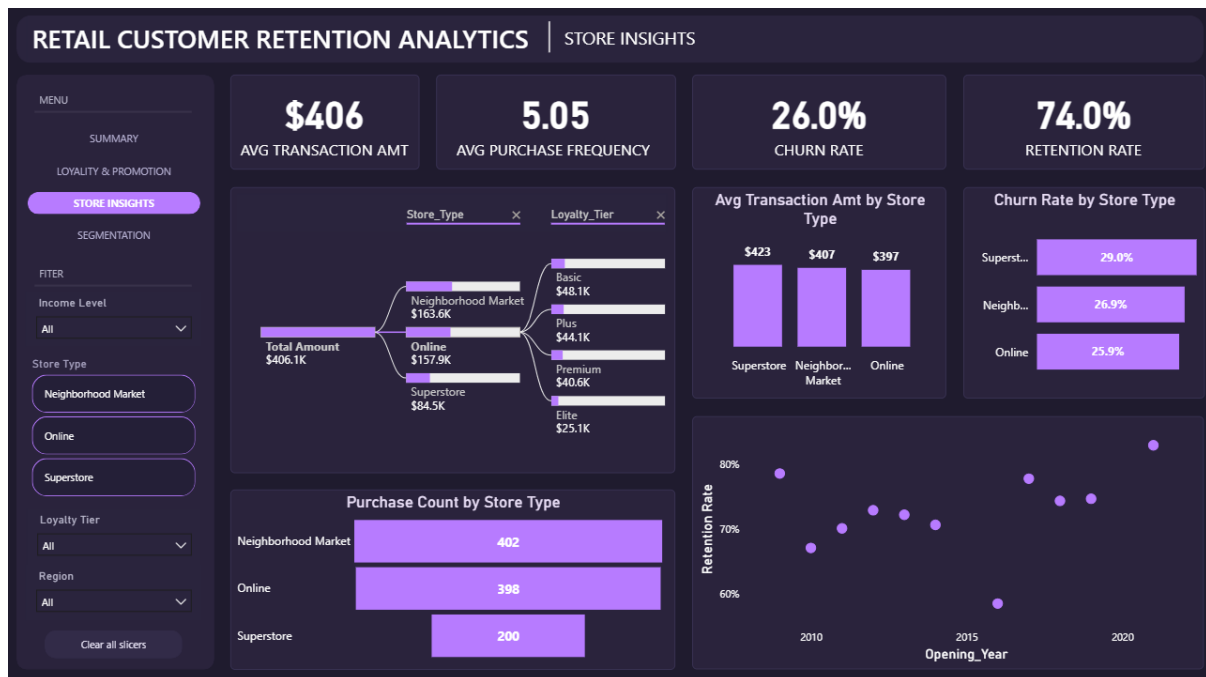
- **53% redemption rate** indicates moderate loyalty engagement.
- **39.3% of transactions use promotions**, but average spend is **higher without promotions (\$411.5 vs \$397.7)**.

Key Insights

1. **Elite tier has the highest churn (32.3%)** despite high loyalty status.
2. **Points earned exceed points redeemed**, especially in Basic and Premium tiers.
3. **Promotions do not increase basket size**, indicating discount-led behavior.
4. **Basic and Plus tiers rely more on promotions** than Elite customers.
5. **Low redemption correlates with higher churn** in higher tiers.

Recommendations

1. **Redesign Elite rewards** to improve redemption and reduce churn.
2. **Encourage point redemption campaigns** for inactive high-point customers.
3. **Shift to targeted promotions** instead of blanket discounts.
4. **Limit promotion dependence** for high-value tiers.
5. **Use loyalty-driven benefits** rather than price cuts to boost engagement.



Summary

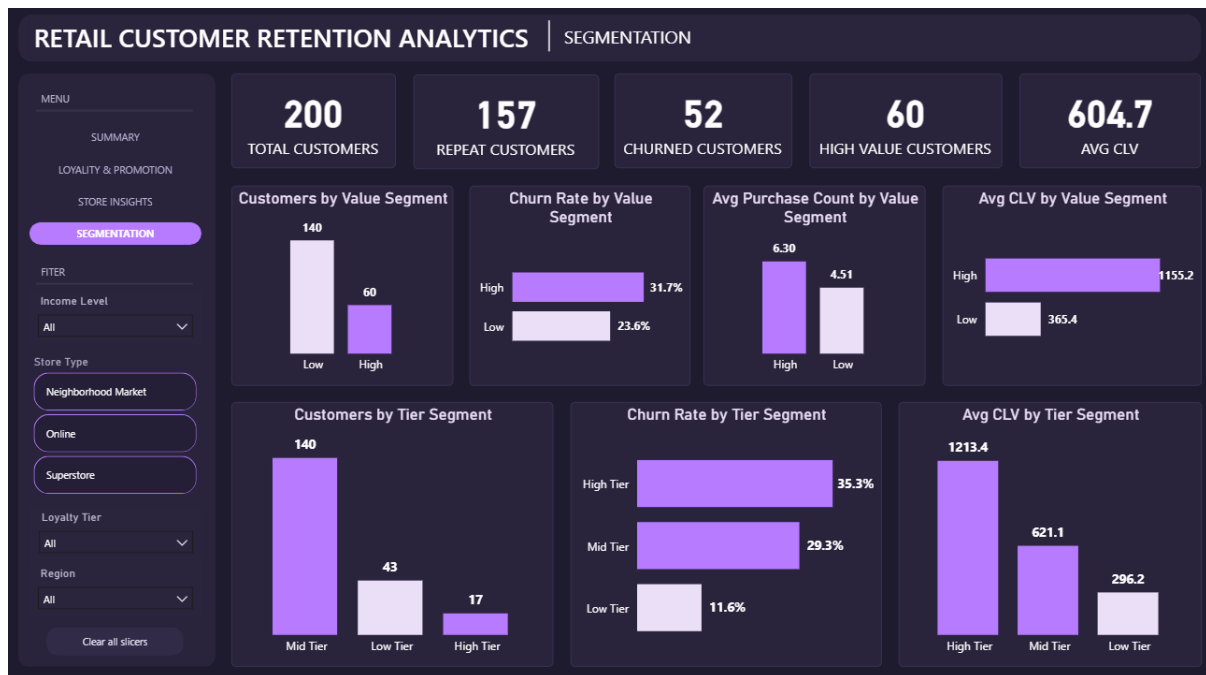
- Avg transaction value is **\$406** with **5.05** avg purchase frequency.
- Overall **churn is 26%** and **retention is 74%** across store types.

Key Insights

1. **Superstores have the highest transaction value (\$423)** but also the **highest churn (29%)**.
2. **Online channel shows the lowest churn (25.9%)** with competitive transaction value.
3. **Neighborhood Markets drive the highest purchase volume**, indicating steady engagement.
4. **Older stores show lower retention**, while newer stores retain customers better.
5. There's a **value vs risk trade-off**: higher spend channels face higher churn.

Recommendations

1. **Improve Superstore retention** via better in-store experience and personalization.
2. **Scale Online channel strengths** and use upselling to increase basket size.
3. **Leverage Neighborhood Markets** for consistent volume-driven growth.
4. **Modernize older stores** using practices from high-retention newer stores.
5. **Align channel-specific strategies** to balance revenue and retention.



Summary

- Out of **200 customers**, **157 are repeat**, **52 churned**, and **60 are high-value (High CLV)**.
- Average CLV is ₹**604.7**, with value concentrated in **High CLV and High-Tier customers**.

Key Insights

1. **High-value customers (High CLV) have higher churn (31.7%)** than low-value customers.
2. **High-tier customers generate the highest CLV**, but also show the **highest churn (35.3%)**.
3. **Mid-tier customers form the largest segment**, indicating strong potential for upgrades.
4. **Low-tier customers have the lowest churn (11.6%)**, but also the lowest value.
5. **Higher purchase count strongly correlates with higher CLV**, but also higher risk.

Recommendations

1. **Protect high-value and high-tier customers** with personalized retention strategies.
2. **Convert mid-tier customers into high-tier** using targeted loyalty incentives.
3. **Run win-back campaigns for churned high-value customers.**
4. **Use CLV-based prioritization** instead of treating all customers equally.
5. **Monitor high-tier churn closely**, as it has the biggest revenue impact.

Provide Top 3 Recommendations for Target:
Which customers to prioritize for retention?
Which channels are underperforming?
How to strengthen loyalty engagement?

1. Prioritize High-Value & High-Tier Customers for Retention

- Focus on High CLV and High-Tier customers, as they generate the highest value but also show above-average churn.
- Use personalized offers, exclusive rewards, and proactive outreach to reduce churn risk and protect revenue.

2. Fix Underperforming Channels (Superstores & High-Churn Regions)

- Superstores show high transaction value but the highest churn, indicating experience issues.
- Improve in-store service, personalization, and post-purchase engagement, and replicate best practices from Online and West region, which show better retention.

3. Strengthen Loyalty Engagement Through Redemption-Focused Programs

- Low point redemption, especially among Elite and Premium tiers, signals weak engagement.
- Introduce simpler redemption rules, tier-exclusive rewards, and redemption reminders to increase loyalty participation and reduce churn.

Prioritize retention of high-value and high-tier customers, fix high-churn channels like Superstores, and strengthen loyalty by increasing reward redemption and personalized engagement.

Summary Video Link :

https://drive.google.com/file/d/1QfAvUtQAYXxfNNNZHmjhJa9k9gDVSlyz/view?usp=drive_link